

21CV03687 Mark W Shurtleff et al vs Sanctuary Centers of Santa Barbara Inc et al

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-08-14

Motion: Motion: Transfer

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Tentative Ruling: Mark W Shurtleff et al vs Sanctuary Centers of Santa Barbara Inc et al

Case Number

21CV03687

Case Type

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Hearing Date / Time

Fri, 08/14/2026 - 10:00

Nature of Proceedings

Motion: Transfer

Tentative Ruling

For all reasons discussed herein, the petition of Mark W. Shurtleff to transfer venue to Superior Court of California, County of Orange, is granted. Venue of this action shall be transferred to the Superior Court of California, County of Orange, Costa Mesa Justice Complex, Probate Division, located at 3390 Harbor Blvd., Costa Mesa, California 92626.

Background:

On September 15, 2025, plaintiffs Mark W. Shurtleff (Mark), individually and as the conservator for Ellen P. Shurtleff (Ellen), and Ellen (collectively, plaintiffs) filed a complaint against defendants Sanctuary Centers of Santa Barbara, Inc., (Sanctuary), AVA Billing & Consulting, LLC,(AVA), Lisa B. Moschini (Moschini), Barry R. Schoer (Schoer), and Ashton V. Abernathy (Abernathy) (collectively, defendants), alleging seven causes of action: (1) breach of written contract (against Sanctuary and AVA only); (2) conversion (against Sanctuary); (3) fraud (against all defendants); (4) negligence misrepresentation (against

all defendants); (5) negligence (against all defendants); (6) financial abuse and neglect of a dependent adult (alleged by Ellen against all defendants); and (7) elder financial abuse (alleged by Mark against all defendants). (Note: Due to common familial surnames and to avoid confusion, the court will refer to plaintiffs, individually, by their first names. No disrespect is intended.)

As alleged in the complaint:

Mark is 65 years of age and the father of Ellen, who is a disabled dependent adult. (Compl., ¶¶ 1-3.) Ellen and Mark are members of the Gibson, Dunn Employee Benefits Plan (the plan) for which Blue Cross of California (Anthem) is the claims administrator. (Id. at ¶ 12.)

Sanctuary is a behavioral health provider that operates a residential program for adults with mental illness in Santa Barbara, California. (Compl., ¶ 5.) Moschini is Sanctuary's Clinical Director and Schoer is its Chief Executive Officer and President. (Id. at ¶¶ 6, 7.) AVA provides insurance claims and billing services to Sanctuary, including services relating to the recoupment of fees from customer's health plans. (Id. at ¶ 8.) Abernathy is AVA's Chief Executive Officer and President. (Id. at ¶ 9.)

In April 2019, Ellen received treatment for Bipolar I disorder at UCLA Hospital. (Compl., ¶ 14.) After Anthem cut off further authorization for in-patient services at the hospital, Moschini evaluated Ellen for placement at Sanctuary's residential facility in Santa Barbara County and advised Mark that Sanctuary could house and help Ellen at that facility. (Ibid.)

Moschini informed Mark that the plan would consider Sanctuary an "out-of-network" provider, and that Ellen and Mark would be required to pay Sanctuary directly and in full for its services. (Compl., ¶ 15.) Moschini stated that Sanctuary would arrange for AVA to submit claims to the plan, that AVA would recoup health plan money as reimbursement to Mark and Ellen for the monthly fees paid to Sanctuary, that Mark and Ellen would be required to use AVA for this purpose, and that Mark and Ellen must pay to AVA a monthly fee of 8.5 percent of all benefits recovered on Mark and Ellen's behalf. (Id. at ¶ 16.)

In reliance on Moschini's statements described above, Mark entered into an admissions agreement (the agreement) with Sanctuary for Ellen to receive residential treatment at Sanctuary's facility. (Compl., ¶ 17.) The agreement provided for an initial monthly admission charge to be paid to Sanctuary of \$11,000 per month, which was later raised to \$12,000 per month. (Ibid.) The agreement also set forth the services to be provided to Ellen. (Id. at ¶ 18.) On April 10, 2019, Ellen was admitted as a full-time resident at Sanctuary's Santa Barbara facility. (Id. at ¶ 19.)

After insurance reimbursements from Anthem began to decline, Mark requested from Sanctuary information regarding AVA's claims submission process with Anthem. (Compl., ¶¶ 22-26.) AVA would not provide Mark with claims submission details. (Id. at ¶¶ 24, 25.) Abernathy told Mark that AVA would resubmit certain claims for service dates occurring after August 2, 2019, which would void the original claims submissions. (Id. at ¶ 25.) At the end of December 2019, Mark discovered that Abernathy and AVA had not been in contact with Anthem, and had submitted few claims after August 2, 2019. (Id. at ¶ 27.)

In January 2020, Mark again inquired of AVA about reimbursements from Anthem, but AVA provided no explanation. (Compl., ¶ 29.) Despite no known change in Ellen's medical status or treatment rendered, Anthem suddenly began processing claims for service dates in January 2020 at full post-hospitalization rates, confirming for the first time that AVA and Sanctuary had failed to properly submit claims to Anthem during Ellen's stay at Sanctuary's facility. (Ibid.) Following a 30-day notice, Ellen left Sanctuary on the morning of February 1, 2020. (Id. at ¶ 30.)

In February 2020, Mark received a written demand from Anthem for repayment of the amount of \$20,300 based on "incorrect billing" submitted by Sanctuary and AVA in April, May, and June of 2019. (Compl., ¶ 32.) Anthem confirmed that AVA had resubmitted claims for service dates prior to August 3, 2019, only. (Ibid.) According to Anthem, AVA's re-submission of pre-August 3, 2019, claims effectively "voided" prior claims submissions for April, May and June 2019, for which Mark and Ellen had already been reimbursed by Anthem. (Ibid.) The post-August 3, 2019, claims submissions were de minimis, and did not reflect charges Mark and Ellen had paid to Sanctuary for after August 2019. (Ibid.)

Anthem also informed Mark that the January claims from Sanctuary included a representation from AVA and Sanctuary that Sanctuary was authorized to receive the Anthem payments instead of Mark and Ellen, to which Mark had not agreed. (Compl., ¶ 35.) Anthem paid Sanctuary directly for services in January 2020, which Mark and Ellen had already paid in full. (Id. at ¶ 36.) AVA and Sanctuary refused to remit these funds to Mark or Ellen, who have not been fully reimbursed by the plan for money paid to Sanctuary. (Id. at ¶¶ 36, 38.)

In addition, Sanctuary misrepresented the scope of services it would provide to Ellen. (Compl., ¶ 42.) Ellen weighed approximately 142 pounds when admitted to Sanctuary, and approximately 205 pounds when she left Sanctuary on February 1, 2020. (Id. at ¶ 44.) Ellen was also allowed to go absent without leave or supervision from Sanctuary despite the 24-hour supervision promised in the Agreement. (Id. at ¶ 45.)

On October 13, 2022, Sanctuary, Moschini, and Schoer filed an answer to plaintiffs' complaint.

On October 28, 2022, AVA and Abernethy filed a demurrer to the first, sixth and seventh causes of action alleged in the complaint which was opposed by Mark and Ellen. The court overruled that demurrer by order dated February 17, 2023, and directed AVA and Abernethy to file and serve an answer to the complaint on or before March 1, 2023.

On May 1, 2023, AVA and Abernethy filed an answer to plaintiff's complaint.

On August 12, 2025, plaintiffs filed a notice of a conditional settlement of this case.

On August 13, 2025, Mark filed an unopposed verified petition for approval of compromise of claim or action or disposition of proceeds of judgment for minor or person with a disability, and separately filed an unopposed verified petition for an order establishing a special needs trust to be funded with the proceeds of a settlement in this action.

On October 24, 2025, the court granted Mark's petition for approval of compromise of claim or action or disposition of proceeds of judgment for minor or person with a disability, and for an order establishing a special needs trust (Trust) and for authority to invest in mutual funds and U.S. government bonds with maturity dates of later than 5 years. (Minute Order, Oct. 24, 2025.)

On January 28, 2026, petitioner Mark filed a request for dismissal of this entire action with prejudice, which was entered that same day.

On April 17, 2026, petitioner Mark filed a petition for transfer of venue of this action to the Superior Court, County of Orange. The verified petition indicates that the "Trust is subject to the continuing jurisdiction of the Superior Court of California. The Trust states at page 10-3 of the Trust that the Trustee is 'required to file accounts and reports for court approval in the manner and frequency required under Probate Code Sections 1060-1064 and Sections 2620-2628.'" (Pet., ¶ 6.) "The day-to-day activities of Petitioner as Trustee of the Trust are in the County of Orange, where Petitioner resides. The principal place of administration of the Trust is in Orange County, where both Trustee and Beneficiary reside." (Pet., ¶ 7.) Ellen ... is a conservatee in Orange County Superior Court case number A237175. [Mark] was appointed as her Conservator on March 16, 2007 and Letters of Conservatorship were issued on March 23, 2007." (Pet., ¶ 4.) "Th[is] related matter in Santa Barbara County, Case No. 21CV03687 has concluded." (Pet., ¶ 5.) "Petitioner therefore requests this matter be transferred to the Superior Court of California, County of Orange, Costa Mesa Justice Complex, Probate Division, located at 3390 Harbor Blvd., Costa Mesa, California 92626." (Pet., ¶ 8.)

Analysis:

"The superior court having jurisdiction over the trust pursuant to this part has exclusive jurisdiction of proceedings concerning the internal affairs of trusts. [¶]

(b) The superior court having jurisdiction over the trust pursuant to this part has concurrent jurisdiction of the following: [¶] (1) Actions and proceedings to determine the existence of trusts. [¶] (2) Actions and proceedings by or against creditors or debtors of trusts. [¶] (3) Other actions and proceedings involving trustees and third persons.” (Prob. Code, § 17000.) “The principal place of administration of the trust is the usual place where the day-to-day activity of the trust is carried on by the trustee or its representative who is primarily responsible for the administration of the trust.” (Prob. Code, § 17002, subd. (a).) “In proceedings commenced pursuant to this division, the court is a court of general jurisdiction and has all the powers of the superior court.” (Prob. Code, § 17001.) The court retains discretion to transfer venue when the ends of justice would be promoted by the change. (See Code Civ. Proc., § 397, subd. (c); see also Prob. Code, § 17400, et seq. [re transfer to another jurisdiction].)

Based on the verified petition, the court finds that the Superior Court for the County of Orange is a proper venue with exclusive or concurrent jurisdiction of proceedings concerning the internal affairs of the Trust. The court finds that interested parties have received notice. The disputed litigation proceedings in this related Santa Barbara action have been settled and a request for dismissal has been entered. No interested party opposes the transfer of venue for purposes of collateral issues pertaining to post-dismissal administration of the Trust as required under the Probate Code and settlement. The court finds the County of Orange is an appropriate venue as to items pertaining to the management of the Trust, including filing accounts and reports for court approval in the manner and frequency required under Probate Code sections 1060 through 1064 and sections 2620 through 2628. The court finds that the ends of justice are promoted by the transfer of venue to Orange County under these circumstances. Based on the foregoing, the court will grant the motion to transfer venue.

Judges

Judge Donna D. Geck

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